

outstanding enterprise. On the basis of such a study, the analyst would declare that the price of \$38 for General Electric includes an investment component of some \$25 per share and a speculative component of about \$13 per share. If this is sound, it would follow that at a price of 25 or less, General Electric common would constitute an “analyst’s investment” completely; but above that price the buyer should recognize that he is paying something for the company’s very real speculative possibilities.⁷

Investment Value, Speculative Value, and Intrinsic Value. The foregoing discussion suggests an amplification of what was said in Chap. 1 on the concept of “intrinsic value,” which was there defined as “value justified by the facts.” It is important to recognize that such value is by no means limited to “value for investment”—*i.e.*, to the investment component of total value—but may properly include a substantial component of speculative value, provided that such speculative value is intelligently arrived at. Hence the market price may be said to exceed intrinsic value only when the market price is clearly the reflection of unintelligent speculation.

Generally speaking, it is the function of the stock market, and not of the analyst, to appraise the speculative factors in a given common-stock picture. To this important extent the market, not the analyst, determines intrinsic value. The range of such an appraisal may be very wide, as illustrated by our former suggestion that the intrinsic value of J. I. Case common in 1933 might conceivably have been as high as 130 or as low as 30. At any point between these broad limits it would have been necessary to accept the market’s verdict—changeable as it was from day to day—as representing the best available determination of the intrinsic value of this volatile issue.

⁷ We have intentionally, and at the risk of future regret, used an example here of a highly controversial character. Nearly everyone in Wall Street would regard General Electric stock as an “investment issue” irrespective of its market price and, more specifically, would consider the average price of \$38 as amply justified from the investment standpoint. But we are convinced that to regard investment quality as something independent of price is a fundamental and dangerous error. As to the point at which the investment value of General Electric ceases and its speculative value begins, there is naturally room for a fairly wide difference of opinion. Our figure is only illustrative.